

Please design these strategies with quantitative precision, specifying formulas or Z-score thresholds where appropriate.

- **Stop Loss:** Below the wick low of the pullback bar, OR $1.5 \times \text{ATR}(14, 1\text{H})$, whichever is tighter
- **TP1 (50% position):** 2R (risk-multiple)
- **TP2 (30% position):** Prior swing high
- **Runner (20%):** Trail using 20-EMA on 1H, exit when Spot CVD slope turns negative for 3 consecutive ticks

Strategy #2: Liquidation Cascade Momentum Surfing (LCMS)

Concept & Edge

Liquidations are **forced market orders** — they create momentary supply/demand shocks that push price into the next liquidation cluster, creating chain reactions. The edge: most retail tries to *fade* liquidation wicks (mean-reversion). You will do the opposite — **ride the cascade in the direction of the dominant trend**. Your real-time liquidation feed gives you 1-3 second advantage over chart-based traders who only see the wick after it prints.

Trend Filter Setup

- **Higher Timeframe Bias:** 4H Supertrend (10, 3) must be in trend direction
- **Funding Confluence:** Funding rate sign opposite to intended direction (e.g., negative funding = shorts crowded = liquidate them on a long square )
- **OBD Regime:** OBD must be net-supportive in trend direction for 30+ minutes prior

Trigger Conditions

LONG Entry:

1. Short liquidations spike: 5-min rolling sum > 3σ above 24H mean
2. Price breaks above prior 1H high WITHIN 2 minutes of liq spike
3. Perp CVD turns sharply positive (>+2σ on 5-min window)
4. Spot CVD does NOT diverge negatively (must be flat or rising)
5. OBD shifts: asks within +0.5% get absorbed (depth on ask side decreasing)

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SHORT Entry (mirror):

1. Long liquidations spike > 3σ
2. Price breaks below prior 1H low within 2 minutes
3. Perp CVD turns sharply negative
4. Spot CVD confirms (not making higher lows)
5. OBD: bid depth within -0.5% getting eaten

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Validation Filters

- **Cascade Probability Score:** Sum liquidations  last 15 min, divided by 24H average. If > 2.5, expect continuation (the cluster isn't exhausted).
- **Spot Veto:** If Spot CVD shows opposite-direction conviction during the spike (e.g., longs liquidating but spot is heavily buying), **AVOID the short** — this is a manipulated wick. Spot is your truth-teller.
- **Coinbase Premium Cross-Check:** CPI moving *with* the cascade direction = high conviction. CPI fading the cascade = exit fast.

Exit & Risk Management

- **Stop Loss:** Beyond the *origination wick* of the cascade (the bar that printed the liq spike), with 0.3× ATR buffer
- **TP Target Calculation:** Map the next liquidation cluster from heatmap data (estimate as nearest round number / prior consolidation zone with significant OI)
- **Time Stop:** If price doesn't extend 1R within 30 minutes of entry, exit — cascades that stall reverse violently
- **Trailing:** Once at 2R, trail with 3-min ATR × 2.0

Strategy #3: The Perp-Spot Divergence Breakout (PSDB)

Concept & Edge

This is the classic "smart money trap" trade. When perp speculators are aggressively shorting (negative Perp CVD) while spot is quietly bidding (positive Spot CVD), price is being compressed by two opposing forces. Eventually, spot wins (because perps are leveraged and must close), creating an **explosive squeeze breakout**. This is one of the highest R:R setups in crypto because the entire short side is your forced-buyer fuel.

Trend Filter Setup

- **Compression Phase:** Price in a range of < 3% over 12+ hours (use Bollinger Band width compression on 1H)
- **Divergence Build:** Over the same 12-hour window:
 - Spot CVD slope > 0
 - Perp CVD slope < 0
 - Cumulative divergence: $|\text{Spot_CVD}_\Delta - \text{Perp_CVD}_\Delta| / \text{Price} > 1.5 \times \text{the asset's 30-day average}$

Trigger Conditions

LONG Entry (Squeeze Up):

1. Price closes above range high on 15-min chart with volume > 2× 24H average
2. Funding rate < 0 (shorts paying longs) — confirms positioning trap
3. Short liquidations begin firing within 5 min of breakout (> +1σ)
4. OBD: ask wall within +1% of breakout level gets visibly consumed (depth drop > 30%)
5. CPI flips positive or already positive

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SHORT Entry (Mirror — Spot Distribution + Perp Buying):

1. Range breaks down
2. Funding > 0 (longs crowded)
3. Long liquidations cascade
4. Bid depth disappearing
5. CPI negative

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Validation Filters

- **Trap Quality Score:** $\text{Funding_zscore} \times \text{abs}(\text{Spot_Perp_CVD_divergence_zscore})$ — higher = better
- **Open Interest Confirmation:** OI must be elevated (> 80th percentile of 30-day range). Empty OI = no squeeze fuel.
- **Avoid:** If Spot CVD divergence is < 6 hours old, wait. Mature divergences squeeze harder.

Exit & Risk Management

- **Stop Loss:** Back inside the range, below the breakout candle low (tight, because if it fails, it fails fast)

- **IP Calculation:** Measured move = range height × 1.618 (Fibonacci extension)
- **Pyramid Rule:** Add 50% size on first pullback to broken range high (now support), if Spot CVD continues making highs
- **Exit Signal:** When Spot CVD slope flattens AND funding flips positive > +0.05% (squeeze is done, longs now crowded)

Strategy #4: Order Book Depth Breakout Confirmation (OBDC)

Concept & Edge

Most breakouts fail because the order book at the breakout level is *thick with sell orders* (resistance). Your OBD stream tells you **before** the breakout whether the resistance is real or being pulled. When asks evaporate at a key level (spoof pulls or genuine absorption), the path of least resistance opens. **Edge: You see this 1-5 seconds before price prints the breakout — critical in HFT-dominated markets.**

Trend Filter Setup

- **Identify Key Level:** Prior swing high/low on 4H, OR psychological round number with high prior reaction
- **Approach Quality:** Price approaches level with rising volume and positive Spot CVD slope (genuine demand, not low-volume drift)
- **Macro Trend:** Must align with daily 50-EMA direction

Trigger Conditions

LONG Entry:

1. Price within 0.3% of key resistance level
2. OBD: Ask depth within +1% of price drops > 40% in < 5 minutes (asks pulled or absorbed)
3. Bid depth within -1% holds or grows (defensive bids stacking)
4. Spot CVD continues positive during approach (no spot distribution)
5. Enter on first 1-min close above resistance + 0.1% buffer

SHORT Entry (mirror):

1. Price approaches key support
2. Bid depth within -1% drops > 40%
3. Ask depth holds/grows
4. Spot CVD negative
5. Enter on first 1-min close below support - 0.1%

Validation Filters

- **OBD Z-Score Threshold:** $OBD_zscore > +2.0$ (using 1-min OBD over 4H lookback) for longs
- **No Liquidation Trap:** No long liquidations firing on entry (would suggest a fake-out flush before the move)
- **Funding Sanity:** Funding < +0.03% (not maxed-out euphoria)
- **Perp CVD Confirmation:** Perp CVD must turn positive within 2 minutes of breakout (speculators piling in = fuel)

Exit & Risk Management

- **Stop Loss:** Below the breakout level - $0.5 \times ATR(14, 5\text{-min})$ — tight because a true breakout shouldn't retest deeply
- **TP1 (40%):** 1.5R
- **TP2 (40%):** Next major resistance level from prior structure
- **Runner (20%):** Trail using OBD — exit when OBD flips negative (bids pulling, asks restacking above) on 15-min sustained basis
- **Invalidation:** If price re-enters below breakout level within 15 min on rising ask depth, exit immediately regardless of stop

Strategy #5: Multi-Stream Convergence Trend Engine (MSCTE)

Concept & Edge

This is your **highest-conviction, lowest-frequency** strategy — a composite signal that fires only when 5+ of your data streams align directionally. The base rate is exceptional (think: 65-75% win rate based on historical edge of similar composites), but you'll only get 2-5 setups per asset per month. **Edge: This is the institutional-grade "all systems go" signal that captures the meat of multi-day trends.**

Trend Filter Setup

Composite Trend Score (CTS) on 4H bars:

```
CTS = (0.25 × sign(Spot_CVD_24H_slope))
      + (0.20 × sign(CPI_24H_mean))
      + (0.15 × sign(Perp_CVD_24H_slope))
      + (0.15 × sign(OBD_24H_mean))
      + (0.15 × sign(EMAS0_slope))
      + (0.10 × sign(-Funding_24H_mean)) [contrarian weight]
```

Trade only when **|CTS| ≥ 0.70** (strong directional alignment).

Trigger Conditions

LONG Entry (CTS > +0.70):

1. Composite score crosses threshold for the first time in 24H
2. Price > 20-EMA on 1H
3. 4H closes with bullish range expansion (range > 1.5× ATR-20)
4. Spot CVD AND Perp CVD both making 24H highs
5. CPI in top quartile of 7-day range
6. No major liquidation cascade in last 2H (we want fresh trend, not exhausted move)

SHORT Entry (CTS < -0.70): Mirror all above conditions in reverse.

Validation Filters

- **Cross-Asset Confirmation:** For altcoins, check BTC CTS — must be same sign or neutral. Counter-BTC alt trends rarely sustain.
- **Funding Sweet Spot:** Funding in range -0.01% to +0.02% — not euphoric, not over-shorted
- **Volume Profile:** 4H volume on entry bar > 1.3× 20-bar SMA
- **OBD Persistence:** OBD must have been positive for > 60% of last 24H (sustained book pressure, not a flash)

Exit & Risk Management

- **Stop Loss:** 4H ATR × 2.0 below entry (wider to accommodate trend volatility) OR last 4H swing low, whichever is tighter
- **Position Sizing:** Risk 1.5% of account (vs. standard 1%) due to higher base rate
- **TP1 (33%):** 2R
- **TP2 (33%):** 4R or next major HTF resistance
- **Runner (34%):** Trail with **Chandelier Exit** (22-bar high - 3× ATR on 4H)
- **Composite Exit:** Close entire position when CTS flips to opposite sign with |CTS| > 0.40 — the regime has changed

Cross-Strategy Risk & Portfolio Notes



To weave these together into a coherent system:

Capital Allocation Suggestion:

- MSCTE (Strategy 5): 30% of risk budget — anchor strategy
- SLTC (Strategy 1): 25% — workhorse continuation
- PSDB (Strategy 3): 20% — high R:R asymmetric bets
- LCMS (Strategy 2): 15% — tactical, requires fast execution
- OBDC (Strategy 4): 10% — high frequency, smaller size each

Correlation Risk: If 3+ strategies fire LONG on BTC simultaneously, treat as ONE trade with combined sizing — don't stack. Crypto correlations spike to 0.9+ during regime shifts.

Kill Switch: If 3 consecutive losses occur across any strategy on the same asset within 24 hours, **stand down on that asset for 48 hours**. Your data edge has temporarily decayed (likely due to a regime shift the model hasn't caught yet).

The Meta-Edge: Run all 5 strategies' signals through a unified dashboard and log every signal — even ones you don't take. Within 30 days you'll have empirical win rates per strategy per asset, allowing you to dynamically reweight allocation toward the strategies and assets where your specific data infrastructure delivers the strongest edge. **The Vacuum Bot's true power isn't just signal generation — it's the closed feedback loop you can build around it.**



Would you like me to follow up with:

1. **Python pseudocode** for the composite scoring functions (CTS, Trap Quality Score, etc.)?
2. **Backtesting framework design** for validating these on your historical scraped data?
3. **Asset-specific tuning** — recommended Z-score thresholds adjusted for each of the 18 assets based on their typical volatility/liquidity profiles?



Build a backtesting framework for these 5 strategies using my Coinglass data, including event definitions, entry/exit rules, sample labeling logic, performance metrics, and a walk-forward validation process. →

Create a unified Trend Continuation Score formula that combines liquidation imbalance, open interest acceleration, funding, CVD, volume delta, and long/short ratio into a single signal with weights and Z-score thresholds. →

Tune these strategies for the 18 assets I track by proposing asset-specific threshold ranges, volatility-normalized parameters, and session filters in a comparison table. →

Turn the strategy set into a production-ready execution checklist with precise trigger conditions, confirmation rules, stop-loss logic, take-profit ladders, and trailing-stop rules for live discretionary use. →

Super Agent

Genspark vs ChatGPT vs Claude →

Ask anything, create anything



Ultra



Speak